

borrowing. In part, these regulations are why we have seen an increase in the amount of time it takes for companies to get to an IPO.

However, some leaders recognized that the world needed to spur more innovation and not strangle it.⁷ They began to question the regulations and used famous Internet company founders, such as Steve Jobs, Bill Gates, and Michael Dell, as examples of how American innovation has made the country great. These leaders understood that if starting a company and securing funding was made more difficult, America would suffer.

Simultaneously, a funding shift was occurring, as many entrepreneurs realized they didn't have to rely on venture capital, family, debt, or the capital markets to raise seed money: the Internet had become a major force in connecting entrepreneurs to investors through the process of *crowdfunding*. It allowed individuals and businesses with an idea and plan to seek out other individuals who were willing to invest. What grew out of the inability of entrepreneurs of small or obscure projects to gain access to the more traditional methods of raising capital was a new method for connecting them to all levels of investors.

Crowdfunding sites such as Kickstarter, Indiegogo, and others positioned themselves online as a way for connecting entrepreneurs and investors. In exchange for investors pledging money, the project or company promised to return the fruits of its labor, depending on the amount a specific investor pledged. Recognizing that this platform was a fertile ground